

Stocks — Owning a Piece of a Company

BEGINNER

PRACTICE WORKSHEET

Grab a pen and pick one real company you're curious about. Research it using the 4-point checklist from the lesson, and write down what you find — there's no wrong answer, the goal is just practice.

■ Section 1 — Pick a Company

Which company are you researching, and what do they actually sell?

Explain their business model in one sentence, as if to a friend.

■ Section 2 — The 4-Point Checklist

Does it pay a dividend? If so, what's the yield and payout ratio?

Is revenue and profit trending up or down over the last few years?

What's one company-specific risk that could hurt this stock, that wouldn't affect a diversified fund the same way?

Tip: try the interactive “Price Return vs. Total Return” calculator on the Stocks lesson page at growthcapitalgroup.com to see what dividends could add to your own numbers.

■ Section 3 — Reflection

Based on your research, would you buy this stock? Why or why not?